

Infosys Ltd. — Financial Modelling & Valuation

Project Summary

Overview

This is a self-built financial model on Infosys Ltd. (NSE: INFY), an Indian IT services major. The workbook pulls ten years of historical financials, builds a full three-statement forecast, and uses it to value the company through two independent methods — a Discounted Cash Flow (DCF) and a trading comparables (comps) analysis — alongside supporting DuPont and ratio analysis. The model spans 14 linked tabs.

Workbook Structure

- **One Page Profile** — Executive snapshot — competitive strengths, key risks, business segments, and 4-year trend of sales, margins, EPS, DPS and shareholding pattern.
- **Data Sheet** — Raw input sheet — 10 years of P&L, balance sheet, cash flow and price data pulled from source filings.
- **Raw Data / Cash Flow Data** — Granular line-item detail behind the balance sheet and cash flow statement (fixed asset breakdown, working-capital movements).
- **HistoricalFS** — Cleaned historical financial statements (FY2017–FY2026 + LTM) with margins and growth rates calculated line by line.
- **Ratio Analysis** — Profitability, efficiency, liquidity and cash-conversion ratios (ROE, ROCE, turnover ratios, debtor/payable days, cash conversion cycle) with 10-year mean/median.
- **3 Statement Model** — Forecast income statement, balance sheet and cash flow for FY2027F–FY2031F, driven by explicit assumptions (revenue growth, margins, working-capital days, capex) and fully balance-checked.
- **WACC** — Weighted average cost of capital build-up using a 6-company IT-services peer set for unlevered/relevered beta, CAPM cost of equity, and after-tax cost of debt.
- **Intrinsic Growth** — ROIC and reinvestment-rate calculation used to derive an intrinsic (fundamentals-based) growth rate feeding the DCF.
- **DCF** — Free-Cash-Flow-to-Firm valuation with mid-year discounting, terminal value, and a two-way sensitivity table on WACC vs. terminal growth.
- **Comps-Valuation** — Trading comps across 10 Indian IT peers (EV/Revenue, EV/EBITDA, P/E) to cross-check the DCF output.
- **Dupont Analysis** — ROE decomposition (margin × asset turnover × leverage) with company background and financial summary.

Key Assumptions & Forecast Drivers (FY2027F–FY2031F)

Driver	FY2026A	FY2031F
Revenue growth	9.6%	8.4%
COGS % of sales	71.8%	70.7%
Effective tax rate	28.5%	27.5%
Capex % of sales	1.5%	1.8%
Dividend payout ratio	73.5%	73.0%

Revenue is projected to grow from ₹1,78,650 Cr (FY26) to ₹2,66,719 Cr by FY31, with EBITDA rising from ₹42,280 Cr to ₹66,040 Cr. The forecast three-statement model balances every year (assets = liabilities + equity check passes throughout).

Cost of Capital (WACC)

Component	Value
Risk-free rate	6.96%
Equity risk premium	6.50%
levered beta	0.849
Cost of equity	12.48%
After-tax cost of debt	5.88%
WACC	12.27%

Beta is derived by unlevering and relevering the median beta of a 6-company IT peer set (TCS, HCL Tech, Wipro, Tech Mahindra, LTM) to Infosys's target capital structure.

Valuation Results

Method	Implied Value / Share	Verdict
DCF (FCFF, terminal growth 5.4%)	₹985.80	Overvalued
Comps — EV/Revenue	₹1,427.15	Undervalued
Comps — EV/EBITDA	₹1,827.73	Undervalued
Comps — P/E	₹1,953.80	Undervalued

The DCF (based on intrinsic reinvestment-driven growth of 9.5% tapering to a 5.4% terminal rate, discounted at a 12.3% WACC) signals the stock is trading above its intrinsic value. The comps approach — benchmarked against 10 Indian IT peers including TCS, Oracle Financial Services and Persistent Systems — signals the opposite, implying

Infosys trades at a discount on revenue, EBITDA and earnings multiples. The divergence is a natural and useful discussion point: DCF is sensitive to the terminal-growth/WACC assumptions (see the sensitivity table in the DCF tab), while comps reflect current market sentiment toward the whole peer group.

Return & Efficiency Snapshot

Metric (FY26)	Value
Return on Equity	28.5%
Return on Capital Employed	36.6%
Net Profit Margin	14.8%
EBITDA Margin	23.7%
ROIC (FY26)	45.2%
Cash Conversion Cycle	-34.8 days (negative, favorable)

Skills Demonstrated

- Three-statement financial modelling with fully linked, balance-checked forecasts
- DCF valuation: FCFF build, mid-year convention, terminal value, sensitivity analysis
- WACC estimation using peer-based unlevered/levered beta and CAPM
- Comparable company (trading comps) analysis across a 10-company peer set
- DuPont decomposition and 10-year ratio/trend analysis
- Intrinsic growth modelling via ROIC and reinvestment rate

Source data: Screener.in. Figures in ₹ Crores unless stated otherwise. Prepared as an independent portfolio project.